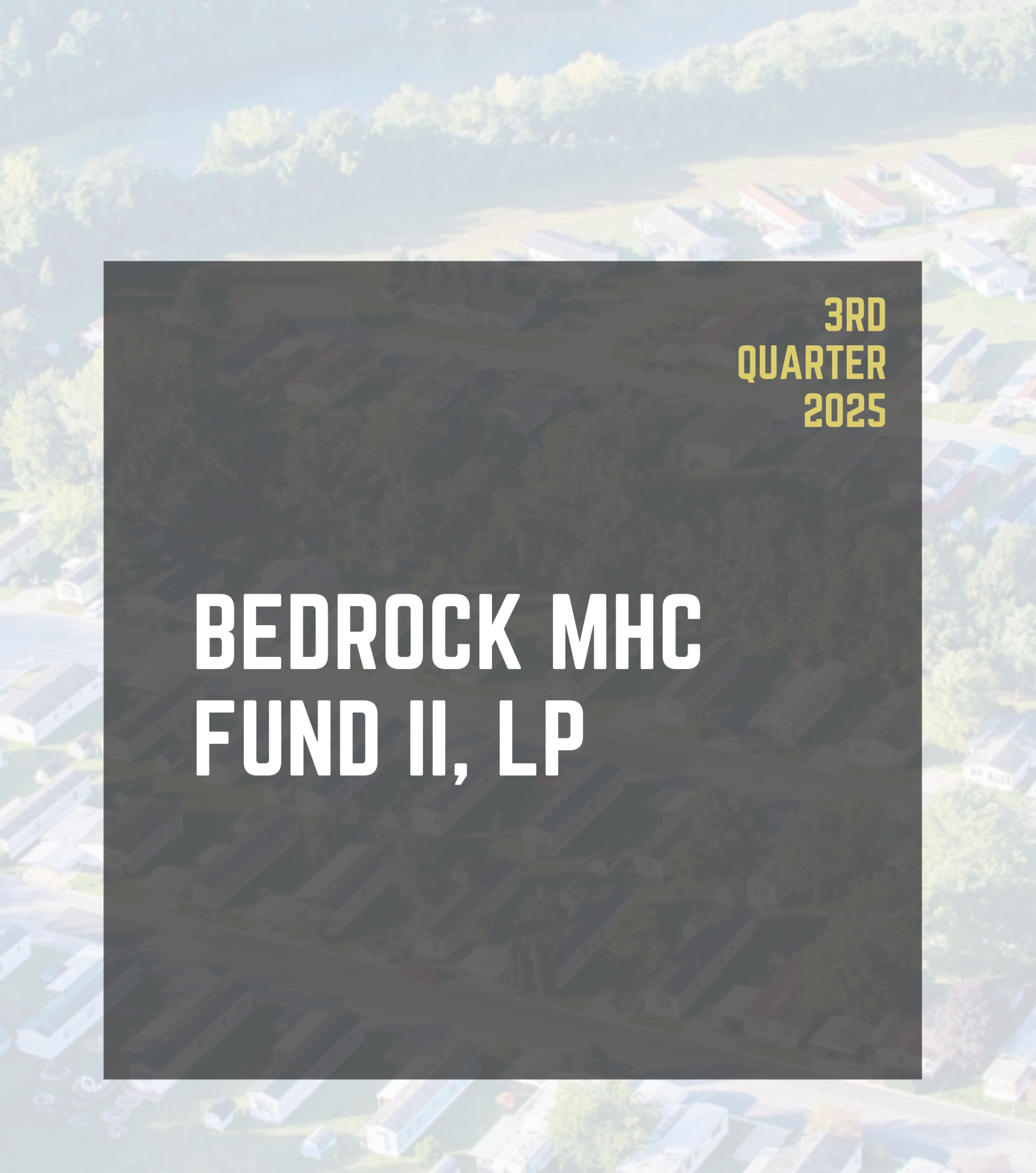


3RD QUARTER 2025

BEDROCK MHC FUND II, LP

10221 RIVER ROAD #59831 POTOMAC, MD 20859

(202) 838-6471

To Our Partners,

As we wrap up the third quarter of 2025, we take a look back over the past several years to see that we've built a strong, resilient portfolio of communities that have not only performed through economic cycles but also delivered meaningful impact across the markets we serve.

Today, we find ourselves at a natural inflection point. The combination of stabilizing interest rates, renewed capital market activity, and strong underlying fundamentals in the affordable housing sector make this an opportune time to begin evaluating strategic options for the Fund. Our focus, as always, is to make thoughtful, data-driven decisions that protect value and position us for a successful outcome.

At the same time, the macro backdrop continues to validate the core of our investment thesis: affordable housing remains one of the most durable and essential segments of U.S. real estate. Demand continues to outpace supply—particularly in the Southeast U.S., where population growth and job creation show no signs of slowing. Rising construction costs and limited new development at attainable price points have deepened the affordability gap.

The U.S. economy continued a gradual deceleration in Q3 2025, with real GDP growth projected near 2.0% year-over-year, down from 2.8% in 2024. While growth has cooled, the broader environment remains constructive. The Federal Reserve executed its first rate cuts in over two years of 25 basis points in September following a hold in July. This resulted in the federal funds rate at 4.00–4.25%. This marks a shift toward supporting employment and preserving expansion, even as core inflation settles around 3.0%.

Lower borrowing costs and renewed confidence in capital markets are improving refinancing outlooks and sparking selective transaction activity. After several quarters of hesitation, we're starting to see momentum return.

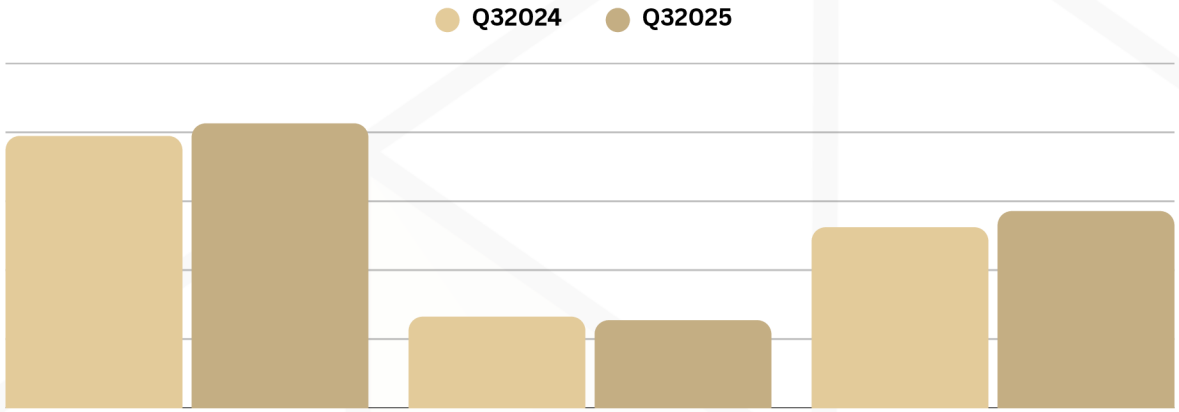
Meanwhile, the multifamily market has softened due to a surge of new supply, creating short-term rent declines in some metros. By contrast, the manufactured housing sector has held its footing. High occupancy, consistent rent growth, and limited new inventory continue to make this one of the most resilient asset classes in residential real estate.

We are seeing buyers coming back and with stabilized cash flow, consistent operational performance, and a clear path to liquidity, our timing to explore a strategic exit aligns well with where the market stands today.

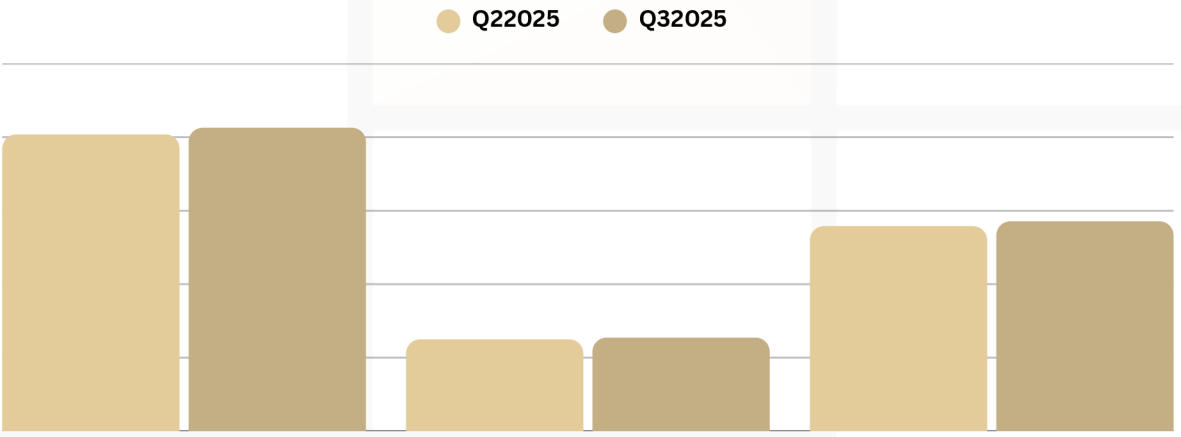
The next several months will focus on maximizing value, ensuring a smooth transition, and preserving the strong reputation and performance that have defined Fund II since inception.

FINANCIAL UPDATE

Net operating income was up 9% year over year, primarily due to our increase in revenue. Revenue increased as a result of our annual rent increases as well as occupancy continues to improve across the portfolio. Expenses were lower year over year as well.



Net operating income was up flat quarter over quarter as we saw both an increase in expenses as well as revenue quarter over quarter.

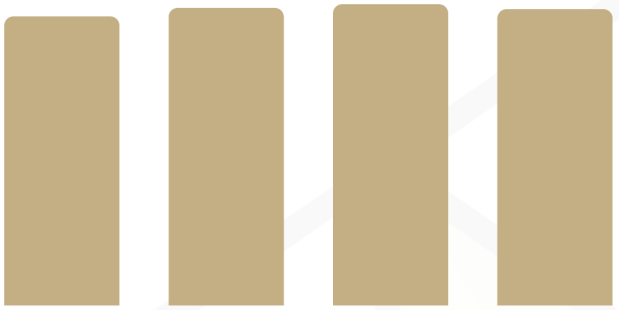


FINANCIAL UPDATE

Main factors that had an effect on our financials:

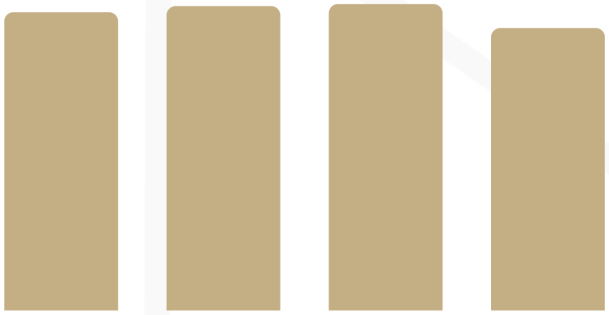
REVENUE FACTORS

RENTAL INCOME



Rental Income remained flat quarter over quarter.

UTILITY INCOME



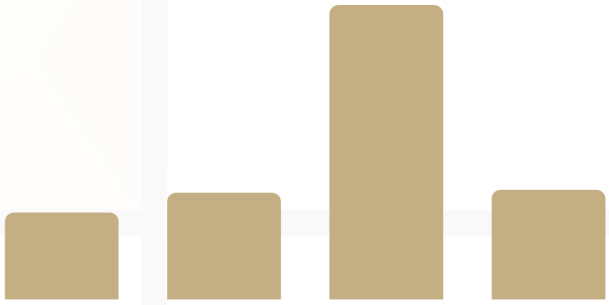
Utility income looks to be lower however this correlates with our lower utility expense

REIMBURSEMENTS



The spike in Q3 of 2025 was related to our tax reimbursement collections which we expected to see as we saw in previous years

MISC & FEES

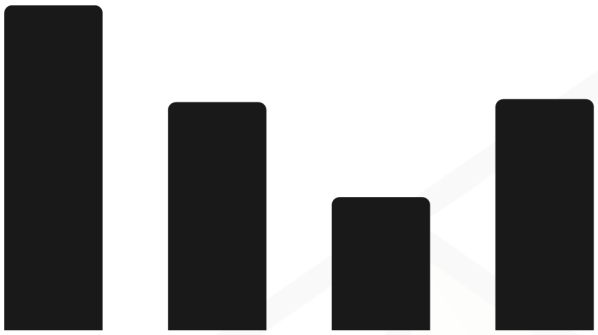


Consistently in line with expectations as these are miscellaneous fees we do not budget for

FINANCIAL UPDATE

EXPENSE FACTORS

LEGAL



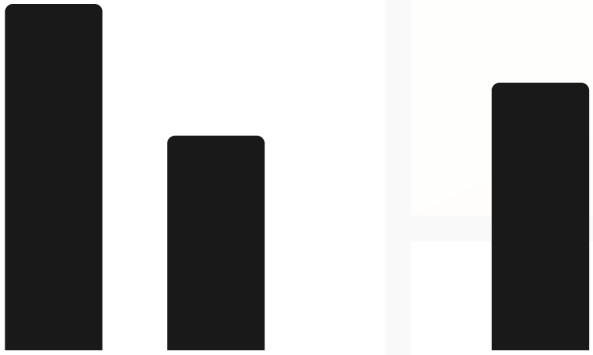
Legal & Professional fees were up this quarter in line with budget for renewals of our operating licenses and permits.

UTILITIES



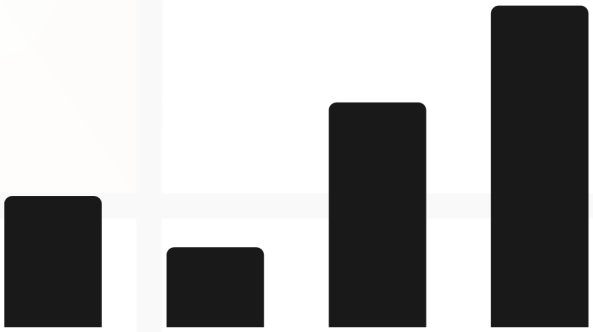
Utilities were higher this past quarter with increased water usage at the communities during the summer months. This was reflected in our recapture as well

MARKETING



Marketing was ramped up this quarter to meet the upcoming demand as summer ends and we see more influx during the winters

R&M



Even due to the quiet hurricane season we still focused on improving the communities and spent additional monies on R&M to prepare the assets for sale

OPERATIONAL UPDATE

The third quarter was stable and operationally steady. With hurricane preparations the initial focus for most of Florida, we proactively prepared for potential impacts, but fortunately this season remained quiet. That allowed our teams to stay focused on core value drivers: infill, operational execution, and reinforcing the long-term demand thesis behind affordable housing across the state.

Migration into Florida continues. Affordability demand continues. And while this quarter did not require heavy defensive action, it created space to advance foundational work that supports sustained performance heading into year end.

LAMBERTON LAKE

We repaved driveways, repaired retaining walls, and repainted the community office.

These improvements support long-term asset durability and enhance visual presentation within the community.











OPERATIONAL UPDATE

BAY OAKS VILLAGE I & II

We completed the road work at Bay Oaks II this quarter after completing Bay Oaks I roads last quarter.

This is exciting to complete as roads are not something you would consider a revenue generating expense however we have already seen an up tick in occupancy as a result.



TOWN & COUNTRY

This quarter was an uplifting one. The exterior boundary was brought back to life and modernized. We removed the concrete perimeter wall and replaced it with vinyl fencing. Town & Country continues to operate at 100% occupancy.





As we enter Q4, we feel positioned with a stronger physical foundation across the portfolio and continued tailwinds supporting demand for attainable housing in Florida. Our focus remains centered on disciplined execution, tactical infill, and operational stability that compounds value over time.

Quiet quarters are often where the structural groundwork is laid. This quarter was exactly that—steady, intentional, and foundational for the growth ahead.

OPERATIONAL UPDATE

FUND II STRATEGIC DISPOSITION AND WIND-DOWN INTENT

After extensive internal analysis and external consultation, the Investment Manager has determined it is advisable to pursue a sale of the remaining assets held within Bedrock MHC Fund II and begin the process of formally winding down the Fund. Current market dynamics, combined with the size and composition of the remaining portfolio, make this an appropriate time to execute a disposition that protects value, reduces uncertainty, and advances the best long-term outcome for Fund stakeholders.

Fund II currently holds a limited number of remaining assets. The Investment Manager has received an offer to acquire all of these holdings in a single transaction. The terms and final pricing are currently being negotiated. This bid was submitted by an investor affiliated with one of our joint venture partners, who is also affiliated with a Principal of the General Partner.

Following substantial consideration and consultation with counsel, both the General Partner and the Investment Manager believe it is in the best interest of Fund II to proceed with negotiations with this bidder. By engaging with a party already familiar with the portfolio, we anticipate materially reduced transaction costs, an accelerated closing timeline, and no broker fees, while still ensuring that pricing and economic terms remain competitive in the open market context.

A reputable, independent third-party firm will be engaged to formally appraise the asset values. Any sale will be completed on arms-length terms, for cash, and at a value no less than the independent appraisal.

The expectation is that this transaction will be completed before year-end. Upon closing, the Fund will distribute proceeds to Limited Partners and will subsequently be dissolved and wound down by the Investment Manager in accordance with the Partnership Agreement.

Final tax returns will be filed on behalf of the Partnership, and Schedule K-1s for the 2025 tax year will be issued to Partners consistent with the required timing and procedures set forth in the Partnership Agreement.

We will continue to provide investors with further information and relevant updates regarding the sale process and the Fund's dissolution as they become available.